

Message from Our CFO

face greater challenges. While generative AI provides a road map for a rapid technological and theoretical growth trajectory, existing data centers are unable to provide the immense computing power required to power the actual services. In addition, we are entering an era that will require an unprecedented amount of electricity, far beyond what is available on a daily basis. To keep the AI revolution moving forward, we are committed to addressing these challenges and believe we are at the starting line of this critical endeavor.

Review of financial strategies for fiscal 2023

Offense leads to a stronger defense

As an investment company, we are often seen as being all about offense. However, as Mr. Son himself has said, “I’m good at offense, but my greatest strength is retreat.” This illustrates that our strength lies in our ability to halt offensive moves in order to strengthen our defense. In fiscal 2023, we shifted from the defense-first approach we adopted in fiscal 2022 to a balanced approach that integrates both offense and defense. As a result of this shift in strategy,

Key indicators

	March 31, 2023	March 31, 2024
NAV (Net Asset Value)	¥14.1tn (\$105.8bn)	¥27.8tn (\$183.6bn)
LTV (Loan to Value)	11.0%	8.4%
Cash position*1	¥5.1tn	¥4.7tn

*1 Cash and cash equivalents + Short-term investments recorded as current assets + Undrawn commitment line + Bond investments.
On an SBG stand-alone basis. Excludes SB Northstar but includes its cash and cash equivalents and bond investments.

our NAV doubled over the year to a record high level, while maintaining strong financial discipline. Although our net interest-bearing debt*2 increased by ¥0.8 trillion to ¥2.6 trillion, our Loan to Value (LTV) improved by 2.6 ppt to 8.4%, and we maintained a consistently safe cash position*1 of ¥4.7 trillion. To enhance our value as an investment company, we need to make investments that boost NAV. Therefore, in fiscal 2023, we invested nearly \$4 billion without deteriorating our financial position, maintaining liquidity at a similar level and strengthening our financial security. This was an ideal financial outcome where our

commitment to financial security was reinforced by our offensive approach.

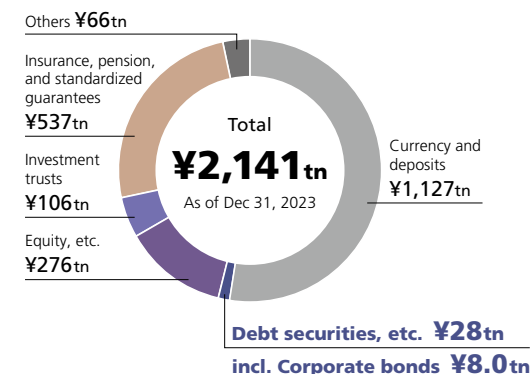
*2 Consolidated net interest-bearing debt – Net interest-bearing debt of self-financing entities, etc. – Other adjustments.
Bank deposits and cash position at PayPay Bank Corporation are excluded.

📄 See pages 20-21 for details of NAV and LTV.

Fundraising on track

In terms of fundraising, we successfully completed bond issuances of ¥550 billion to retail markets in March 2024 and ¥100 billion to wholesale markets in April 2024. Due to strong demand, we issued another ¥550 billion bond to retail markets in June 2024. Currently, about half of Japan’s

Japan’s household financial assets (Bank of Japan’s flow of funds Accounts Statistics)



estimated ¥2.1 quadrillion in household financial assets*3 is held in cash and deposits, while less than 20% is invested in riskier assets such as equities and mutual funds. I have long believed that the Japanese market lacks sufficient middle-risk/middle-return products to bridge the gap between cash deposits and risk assets. I also believe that the Japanese bond market is about 20 years behind global markets. For two decades, I have been dedicated to offering products that enhance investment opportunities for Japanese retail investors.

With our bond issue, JCR upgraded our rating by one notch from A- to A (stable) in